## Gold and real estate

Gold has its own cell. But it is tiny. No more than 5–10 per cent of your total portfolio is in gold, and that too paper gold, not jewellery. The government's sovereign bond issue is very good and if you don't need the money for the next seven years, you can begin to build a gold laddering system. It is useful for inflation protection at short notice and for use in marriages of the kids.

I actually have no gold in my portfolio. I depend on well-chosen equity funds to do that for me. I'm not planning to go big on gold on my kid's wedding. So, no need for gold for me. But each family is different. If you think you'd want to gift gold to the kids at the time of their marriages, go ahead and invest. But not in jewellery; it should be either in an ETF or in gold bonds. This was cell nine. It is tiny and we don't count our gold trinkets in this cell.

Real estate has its own cell, but the only product I have in that cell is the house I own and live in. You know that I'm not a big fan of real estate. I find it really messy. Keep it down to the one house you live in. If you can manage the stress that comes with real estate, add to the cell, but do remember to look at your overall asset allocation. Real estate as investment should not be the biggest share of the net worth. We can work much better with real estate as a financial product once real estate investment trusts or REITs come to the market, and when they do I will probably redo this allocation. But for now, avoid. Cell ten is done.

It is not enough to create the box, you need to periodically clean it. Go to Chapter 12 to see how to redo the money box. But we are not done populating our box. There is another cell that carries your estate plan. That cell we will meet in Chapter 12.

Choosing products is by far the most difficult part of a financial plan. Just narrowing down the product categories helps you shortlist the funds that you need to look at. **You are doing OK if …**